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(1) Bayes' theorem

A telegraphic communications system transmits dots and dashes. Assume that due to noise, an average of $2/5$ of the dots and $1/3$ of the dashes are changed. Suppose that the ratio between the transmitted dots and the transmitted dashes is $5 : 3$.

- (a) What is the probability that a received signal will be the same as the transmitted signal if ...
- (i) ... the received signal is a dot?
 - (ii) ... the received signal is a dash?
- (b) Assuming independence between signals, if the message dot-dot was received, what is the probability distribution of the four possible messages that could have been sent?

Solution:

- (a) Let A be the event that a dot is received, and B that a dash is received. One can make two hypotheses: H_1 that the transmitted signal was a dot; and H_2 that the transmitted signal was a dash. By assumption, one has $P(H_1) : P(H_2) = 5 : 3$ and $P(H_1) + P(H_2) = 1$. Therefore $P(H_1) = 5/8$, $P(H_2) = 3/8$. One knows that

$$\begin{aligned} P(A|H_1) &= \frac{3}{5} & P(B|H_1) &= \frac{2}{5} \\ P(A|H_2) &= \frac{1}{3} & P(B|H_2) &= \frac{2}{3} \end{aligned}$$

The probabilities of A and B are determined from the total probability formula:

$$P(A) = \frac{5}{8} \frac{3}{5} + \frac{3}{8} \frac{1}{3} = \frac{1}{2} \quad P(B) = \frac{5}{8} \frac{2}{5} + \frac{3}{8} \frac{2}{3} = \frac{1}{2}$$

From Bayes' theorem, the required probabilities are

$$\begin{aligned} \text{(i)} \quad P(H_1|A) &= \frac{P(H_1)P(A|H_1)}{P(A)} = \frac{(5/8) \times (3/5)}{1/2} = \frac{3}{4} \\ \text{(ii)} \quad P(H_2|B) &= \frac{P(H_2)P(B|H_2)}{P(B)} = \frac{(3/8) \times (2/3)}{1/2} = \frac{1}{2} \end{aligned}$$

- (b) As dot-dot was received, A happened twice, so the distribution of the four possibilities are

Signal sent	Probability
$H_2 - H_2$ (dash-dash)	$\frac{1}{4} \frac{1}{4} = \frac{1}{16}$
$H_2 - H_1$ (dash-dot)	$\frac{1}{4} \frac{3}{4} = \frac{3}{16}$
$H_1 - H_2$ (dot-dash)	$\frac{1}{4} \frac{3}{4} = \frac{3}{16}$
$H_1 - H_1$ (dot-dot)	$\frac{3}{4} \frac{3}{4} = \frac{9}{16}$

(2) Characteristic function

A random variable X has probability density

$$f(x) = \frac{1}{2} e^{-|x|}$$

- (a) Find its characteristic function.
(b) From the characteristic function, find its mean and variance.

Solution:

- (a) Let $M(u)$ be its characteristic function.

$$\begin{aligned}
 M(u) &= \int_{-\infty}^{+\infty} e^{iux} f(x) dx = \frac{1}{2} \int_{-\infty}^{+\infty} e^{iux-|x|} dx \\
 &= \frac{1}{2} \int_0^{\infty} e^{(iu-1)x} dx + \frac{1}{2} \int_{-\infty}^0 e^{(iu+1)x} dx \\
 &= \frac{1}{2} \left(\frac{1}{1-iu} - \frac{1}{1+iu} \right) = \frac{1}{1+u^2}
 \end{aligned}$$

- (b) The n th moment of X can be obtained by using

$$\langle x^n \rangle = \int_{-\infty}^{+\infty} x^n f(x) dx = (-i)^n \frac{d^n M(x)}{du^n} \Big|_{u=0}$$

Therefore, the mean is

$$\langle x \rangle = -i \frac{dM}{du} \Big|_{u=0} = -i \left[\frac{-2u}{(1+u^2)^2} \right] \Big|_{u=0} = 0$$

and the variance is

$$\langle x^2 \rangle - \langle x \rangle^2 = (-i)^2 \frac{d}{du} \left[\frac{-2u}{(1+u^2)^2} \right] \Big|_{u=0} - 0 = \frac{2-6u^2}{(1+u^2)^3} \Big|_{u=0} = 2$$

(3) Autocorrelation

Let $X(t)$ be a stationary random function whose values are normally distributed with zero mean and variance σ^2 , then let

$$Z(t) = \frac{1}{2} \left[1 + \frac{X(t)X(t+\tau)}{|X(t)X(t+\tau)|} \right]$$

for some lag τ . Show that the time average of $Z(t)$ is

$$\bar{Z}(\tau) = \frac{1}{\pi} \arccos[-\rho(\tau)]$$

where $\rho(\tau)$ is the normalized correlation function of $X(t)$. [Hint: Let $x = X(t)$ and $y = X(t + \tau)$ be two normal random variables and consider their joint distribution.]

Solution:

Let $x = X(t)$ and $y = X(t + \tau)$ be two normal random variables with correlation $\rho = \rho(\tau)$. Their joint distribution is given by

$$f(x, y) = \frac{1}{2\pi\sigma^2\sqrt{1-\rho^2}} e^{-\frac{x^2+y^2-2\rho xy}{2(1-\rho^2)\sigma^2}}$$

Then the required average can be represented as

$$\bar{Z} = \int_{-\infty}^{\infty} \int_{-\infty}^{\infty} \frac{1}{2} \left[1 + \frac{xy}{|xy|} \right] f(x, y) dx dy$$

Since $\frac{1}{2} \left[1 + \frac{xy}{|xy|} \right]$ is identically equal to zero if the signs of x and y are different, and equal to one otherwise, we have

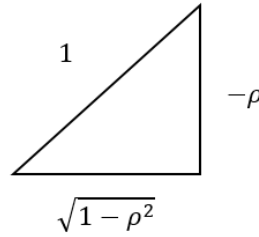
$$\begin{aligned} \bar{Z} &= \int_{-\infty}^0 \int_{-\infty}^0 f(x, y) dx dy + \int_0^{\infty} \int_0^{\infty} f(x, y) dx dy \\ &= 2 \int_0^{\infty} \int_0^{\infty} f(x, y) dx dy \end{aligned}$$

Change variables to r and θ by letting $x = r \cos \theta$ and $y = r \sin \theta$, then let $z^2 = \frac{r^2(1-\rho \sin 2\theta)}{2(1-\rho^2)\sigma^2}$.

$$\begin{aligned} \bar{Z} &= \frac{2}{2\pi\sigma^2\sqrt{1-\rho^2}} \int_0^{\frac{\pi}{2}} \int_0^{\infty} e^{-\frac{r^2(1-\rho \sin 2\theta)}{2(1-\rho^2)\sigma^2}} r dr d\theta \\ &= \frac{2}{2\pi\sigma^2\sqrt{1-\rho^2}} \int_0^{\frac{\pi}{2}} \left[\frac{(1-\rho^2)\sigma^2}{1-\rho \sin 2\theta} \right] d\theta \int_0^{\infty} e^{-z^2} d(z^2) \end{aligned}$$

$$\begin{aligned}
&= \frac{\sqrt{1-\rho^2}}{\pi} \int_0^{\frac{\pi}{2}} \frac{d\theta}{1-\rho \sin 2\theta} = \frac{1}{\pi} \operatorname{atan} \left(\frac{\tan \theta - \rho}{\sqrt{1-\rho^2}} \right) \Bigg|_0^{\frac{\pi}{2}} \\
&= \frac{1}{\pi} \left[\frac{\pi}{2} - \operatorname{atan} \left(\frac{-\rho}{\sqrt{1-\rho^2}} \right) \right]
\end{aligned}$$

Finally, one can convert this result to $\bar{Z}(\tau) = \frac{1}{\pi} \operatorname{acos} [-\rho(\tau)]$ by considering the following right-angled triangle.



(4) Radar system

A radar system uses radio waves to detect aircraft. After receiving a signal, the system needs to decide whether an aircraft is present or not. Let X be the received signal. We know that

- $X = W$ if no aircraft is present
- $X = 1 + W$ if an aircraft is present

where $W \sim N\left(0, \sigma^2 = \frac{1}{9}\right)$ is some inevitable noise. Thus, we can write $X = \theta + W$,

where $\theta = 0$ if there is no aircraft and $\theta = 1$ if there is an aircraft. Now we define the null hypothesis H_0 and the alternative hypothesis H_1 as

- H_0 : no aircraft is present
- H_1 : an aircraft is present

- (a) Write H_0 and H_1 in terms of possible values of θ .
- (b) Design a test to decide between H_0 and H_1 by setting its significance level as $\alpha = 0.05$.
- (c) Find the probability β of type II error for the test in (b).
- (d) If we observe $X = 0.6$, is there enough evidence to reject H_0 at significance level $\alpha = 0.01$?

- (e) If we would like the probability of missing a present aircraft to be less than 5%, what is the smallest significance level that we can achieve?
- (f) Design another test to decide between H_0 and H_1 by comparing the likelihood ratio of the two hypotheses with some preset threshold η .

Solution:

- (a) $H_0 : \theta = 0$ and $H_1 : \theta = 1$. Note that here both hypotheses are simple.
- (b) We need to choose a threshold c . If the observed value of X is less than c , we choose H_0 (i.e., $\theta = 0$). If the observed value of X is larger than c , we choose H_1 (i.e., $\theta = 1$). To choose c , we use the required α :

$$\begin{aligned}\alpha &= P(\text{type I error}) = P(\text{reject } H_0 | H_0) = P(X > c | H_0) \\ &= P(W > c) = 1 - \Phi(3c)\end{aligned}$$

where Φ denotes the CDF of the standard normal distribution. For $\alpha = 0.05$, $c = 0.548285$. (Note that this test corresponds to the Neyman-Pearson detector of our lecture notes.)

- (c) We have

$$\begin{aligned}\beta &= P(\text{type II error}) = P(\text{accept } H_0 | H_1) = P(X < c | H_1) \\ &= P(1 + W < c) = P(W < c - 1) = \Phi(3(c - 1))\end{aligned}$$

For $c = 0.548285$, $\beta = 0.0876857$.

- (d) We have got $\alpha = 1 - \Phi(3c)$ in part (b). For $\alpha = 0.01$, $c = 0.775449$, which is larger than $X = 0.6$. Therefore, we cannot reject H_0 at significance level $\alpha = 0.01$.
- (e) Here we want $\beta = \Phi(3(c - 1)) \leq 0.05$, which gives $c \leq 0.451715$ and thus $\alpha \geq 1 - \Phi(3c) = 0.0876857$. Therefore, the smallest significance level that we can achieve is $\alpha = 0.0876857$.
- (f) Under H_0 , $X \sim N\left(0, \frac{1}{9}\right)$; and under H_1 , $X \sim N\left(1, \frac{1}{9}\right)$. The resultant likelihood ratio is

$$\Lambda(x) = \frac{f_X(x|H_1)}{f_X(x|H_0)} = \frac{\frac{3}{\sqrt{2\pi}} e^{-\frac{9(x-1)^2}{2}}}{\frac{3}{\sqrt{2\pi}} e^{-\frac{9x^2}{2}}} = e^{\frac{9(2x-1)}{2}}$$

If $\Lambda(X) > \eta$ or $X > \frac{1}{2}\left(1 + \frac{2}{9}\ln \eta\right)$, we accept H_1 . If $\Lambda(X) < \eta$ or $X < \frac{1}{2}\left(1 + \frac{2}{9}\ln \eta\right)$, we accept H_0 . On the other hand, if you define the likelihood ratio as

$$\Lambda(X) = \frac{f_X(x|H_0)}{f_X(x|H_1)} = \frac{\frac{3}{\sqrt{2\pi}} e^{-\frac{9x^2}{2}}}{\frac{3}{\sqrt{2\pi}} e^{-\frac{9(x-1)^2}{2}}} = e^{\frac{9(1-2x)}{2}}$$

like statisticians and economists, you accept H_1 if $\Lambda(X) < \eta$ or $X > \frac{1}{2}\left(1 - \frac{2}{9}\ln \eta\right)$ but accept H_0 if $\Lambda(X) > \eta$ or $X < \frac{1}{2}\left(1 - \frac{2}{9}\ln \eta\right)$. (Note that this test corresponds to the Bayes detector of our lecture notes.)